Social Security and Parafiscal Contributions Module

1. Introduction

The Social Security and Parafiscal Contributions module is a fundamental part of the payroll system, as it enables the calculation and management of the contributions that both the employee and the employer must make to entities such as health insurance providers (EPS), pension funds, occupational risk insurers (ARL), and family compensation funds. This process is mandatory in Colombia and ensures compliance with labor and tax obligations.

2. Objectives

- Automate the calculation of social security and parafiscal contributions.
- Generate a record of payments made by the company and its employees.
- Allow the generation of contribution reports.
- Ensure compliance with current legislation.

3. Features

3.1 Social Security Calculation

Employee Contributions:

- Health: 4% of the salary.
- Pension: 4% of the salary.

Employer Contributions:

- Health: 8.5% of the salary.
- Pension: 12% of the salary.
- Occupational Risk (ARL): Depends on the risk level.
- Family Compensation Fund: 4% of the salary.

3.2 Contribution Records

- Store information on payments made.
- Generate files to report to social security entities.

4. Database Model

The following table(s) are required for this module:

Table: SocialSecurity

Campo	Tipo de Dato	Descripción
id	INT (PK)	Identificador único
empleado_id	INT (FK)	Referencia al empleado
salud_emp	DECIMAL(10,2)	Aporte a salud del empleado
pension_emp	DECIMAL(10,2)	Aporte a pensión del empleado
salud_empresa	DECIMAL(10,2)	Aporte a salud del empleador
pension_empresa	DECIMAL(10,2)	Aporte a pensión del empleador
arl	DECIMAL(10,2)	Aporte a riesgos laborales
caja_compensacion	DECIMAL(10,2)	Aporte a caja de compensación
fecha_pago	DATE	Fecha de pago

5. Processes and Algorithms

Contribution Calculation

- Retrieve the employee’s base salary.
- Apply the percentage rates according to current regulations.
- Save the calculated values in the database.

Report Generation

- Extract information from the database.
- Format the data according to the requirements of the respective entities.
- They will be displayed in the console.

7. Conclusion

The Social Security and Parafiscal Contributions module is essential for ensuring legal compliance and the proper administration of labor-related contributions. Its integration with other system modules allows for better control and transparency in payroll management.